

SECOND SEMESTER DIPLOMA EXAMINATION IN COMMERCIAL PRACTICE
ACCOUNTANCY II
MODEL QUESTION PAPER

(Time: 3 hours)

(Maximum Marks: 100)

PART A

I Answer the following questions in one or two sentences. Each question carries 2 marks.

- 1 What is a bank reconciliation statement?
- 2 Define bill of exchange.
- 3 What do you understand by suspense account?
- 4 State the meaning of deferred revenue expenditure.
- 5 What is gross profit?

5 x 2=10

PART B

II Answer any 5 questions. Each question carries 6 marks.

- 1 Distinguish between cash book and pass book. 6
- 2 Write short notes on the following: 6
 - (a) Time bill, (b) Demand bill (c) Drawee (d) Days of grace
- 3 Write short notes on the following: 6
 - (a) Outstanding expenses, (b) Provision for doubtful debts,
 - (c) Prepaid expenses, (d) Accrued income
- 4 The pass book of a firm showed a debit balance of Rs.16,000 on 31st January, 2015. On verifying the pass book with cash book, the following were observed: 6
 1. Cheques issued but not presented till January 31, 2015 - Rs.3,400
 2. Cheques deposited but not cleared – Rs.4,100
 3. Bills receivables collected by bank, recorded only in the pass book – Rs.3,100
 4. Bank charges not seen entered in the cash book – Rs.80
 5. Building rent collected and credited by the bank – Rs.4,500Prepare reconciliation statement and find out the balance as per cash book.
- 5 On 1st April, 2015 A sold goods to B and drew a bill on B for Rs.3,000 payable after 3 months. On 4th April A discounted the bill with his bank for Rs.2,850. Give journal entries in the books of A and B. 6
- 6 Rectify the following errors by giving correcting entries. 6
 1. Credit purchase of books for Rs.850 from Sultan Chand & Sons has not been rerecorded in the day book.
 2. Rent paid to R, the landlord is debited in landlord's account Rs.600
 3. Purchase of furniture from Forest Industries Ltd. for Rs.25,000 is recorded in purchase day book.
 4. Carriage paid on purchase of furniture Rs.300 is debited in carriage account.
 5. Goods sold to Amal for Rs.500 has been wrongly recorded in purchase day book.
 6. Rs.180 received from Karun has been credited in the account of Kiran.
- 7 From the following data prepare balance sheet of M/s XYZ as on 31.12.2015: 6

Land and building	20,000	Cash at bank	2,200
Closing stock	13,000	Machinery	14,000

Cash in hand	7,500	Bills payable	14,000
Bank loan	15,000	Net profit	7,000
Drawings	3,000	Salaries outstanding	1,200
Insurance prepaid	200	Furniture	6,000
Sundry debtors	12,000	Capital	30,000
Bills receivables	5,300	Sundry creditors	16,000

PART C
MODULE - I

- III (a) Prepare a bank reconciliation statement of the following;
1. Bank overdraft as per cash book as on 30th April, 2015 – Rs,9,600
 2. Cheques issued but not presented for payment – Rs.2,600
 3. Cheques paid in for collection, but not cleared – Rs.1,900
 4. Interest and dividend credited in the pass book – Rs.4,200
 5. Bank charges as per pass book – Rs.240
 6. Interest on overdraft debited in the pass book – Rs.1,200
 7. Cheques issued and presented, but not recorded in the cash book – Rs.1,600
- (b) Enumerate any 7 causes for differences between cash book and pass book.

OR

- IV (a) The bank balance of M/s Gayathri appliances as per their cash book did not agree with the balance as per pass book on 31st December, 2014. On verification of cash book and pass book, the following discrepancies were found:
1. Interest and dividend credited in the pass book was Rs.7,100, whereas, that recorded in the cash book was only Rs.4,000.
 2. Three cheques of Rs.7,800, Rs.9,000 and Rs.8,200 were issued in December, but the cheque of Rs.9,000 only is encashed in December, 2014.
 3. Two cheques for Rs.6,600 and Rs.2,400 paid into bank for collection in December. But the cheque for Rs.2,400 was collected only in January, 2015.
 4. Interest on overdraft not recorded in the Cash book – Rs.1,800.
 5. Cheque issued in December but not recorded in cash book – Rs.600.
- The pass book showed an overdraft of Rs.18,000 on 31st December, 2014.
Prepare a Reconciliation statement to ascertain the balance as per cash book.
- (b) Mention various items usually added to the balance as per cash book and deducted from the balance as per cash book.

MODULE - II

- V (a) Distinguish between bill of exchange and promissory note.
- (b) On 1st August, 2015 X sold goods worth Rs.5,500 to Y and drew a bill for 2 months. On getting the bill X accepted and endorsed it to Z, his creditor. The bill is met on due date. Give journal entries in the books of X, Y and Z.
- OR
- VI (a) Explain the differences between trade bill and accommodation bill.
- (b) On April 15th Manu drew a bill of Rs.8,000 on his debtor David for two months. By the due date of the bill, David became insolvent and a dividend of 50 paise in the rupee was received from his estate. Pass journal entries and prepare personal accounts in the books of Manu and David.

MODULE III

- VII (a) Explain various types of accounting errors. 8
- (b) The debit column of a trial balance is more than its credit column by Rs.370. Give rectifying entries for the following errors:
1. Purchase day book is found undercast by Rs.170
 2. Sales day book is overcast by Rs.300
 3. Purchase returns day book is added less by Rs.60
 4. Sales returns day book is added less by Rs.40
 5. Purchase from Ziad Rs.400 is posted to the debit side of his account.
 6. Salary paid Rs.240 has been posted twice to salary account.
 7. Cash paid to Vasu Rs.110 has been posted to the credit of Vasu's account. 7

OR

- VIII (a) Distinguish between capital receipts and revenue receipts. 7
- (b) In a trial balance credit side is more than debit side by Rs.420 and the difference transferred to suspense account. Give rectification entries and also prepare suspense account after correcting the mistakes.
1. Sale day book was under cast by Rs.100.
 2. Goods for Rs.300 purchased on credit from Babu were wrongly entered in the sales book. The account of Babu was correctly credited.
 3. Sales returns book was under cast by Rs.30.
 4. A credit item of Rs.10 was wrongly debited to Joy's account as Rs.100. 8

MODULE - IV

- IX From the following trial balance of M/s Bharathi Traders as on 31st March, 2015, prepare Trading and profit and loss account and a balance sheet:

Particulars	Debit (Rs.)	Credit (Rs.)
Capital		15,000
Purchases	55,000	
Drawings	2,500	
Stock as on 1.4.2014	11,000	
Bank overdraft		2,100
Furniture	1,300	
Creditors		7,900
Premises	10,000	
Book debts	9,000	
Rent		500
Returns	1,000	
Sales		75,000
Discount		200
Insurance	500	
Sundry expenses	2,500	
Commission		1,000
Carriage outwards	3,300	
Cash	5,600	
Total	1,01,700	1,01,700

Adjustments:

1. Stock on 31.3.2015 – Rs.17,200.
2. Rent receivable amounts to Rs.100.
3. Commission accrued but not received amount to Rs.450.
4. Carriage outwards outstanding – Rs.200.
5. Insurance paid in advance – Rs.150

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OR

X

Prepare trading and profit and loss account for the year ended 31st December, 2014 and a balance sheet as on that date from the following trial balance:

Particulars	Dr. (Rs.)	Cr. (Rs.)
Capital		10,000
Purchases	20,000	
Wages	1,200	
Sales		3,0000
Carriage inwards	800	
Factory expenses	700	
Commission		3,800
Salaries	900	
Carriage outwards	300	
Rent		1,200
Cash	1,000	
Bank	1,400	
Repairs	500	
Building	16,000	
Returns inwards and outwards	500	700
Debtors and creditors	4,500	4,000
Bills receivable	600	
Bills payable		800
Telephone charges	100	
Stock on 1.1.2014	2,000	
Total	50,500	50,500

Adjustments:

1. Commission received in advance –Rs 800
2. Rent received in advance – Rs.300
3. Wages outstanding Rs.400
4. Salary prepaid – Rs.200
5. Stock on 31st December, 2014 – Rs.4,200

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